

23PSCV00361 23PSCV00361

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Case Number: 23PSCV00361 Hearing Date: July 1, 2026 Dept: H

Makwana, et al. v.

Delgado, et al.,

Case No. 23PSCV00361

ORDER ON MOTION

FOR DETERMINATION OF GOOD FAITH SETTLEMENT

See below.

Background

Plaintiffs

Nilesh S. Makwana and Jessica M. Montesinos (together, "Plaintiffs") allege as follows:

Plaintiffs

own the residential property located at 20465 Rance Drive, Walnut, CA 91789 ("Property"). The Property was unimproved prior to any agreement between Plaintiffs and Louie Delgado dba L&R Construction ("L. Delgado"). On or about April 5, 2020, Plaintiffs contracted with L. Delgado for the construction of a new home. L. Delgado failed to perform the work according to industry standards, delayed the performance of the work without excuse, failed to complete the work, and failed to maintain workers compensation insurance for his employees who worked on the Project.

On May

5, 2023, L. Delgado filed a cross-complaint, asserting causes of action against Alegria Plastering, Inc. ("Alegria"), Suazo's Heating and Air Conditioning Co.,

Inc. ("Suazo's Heating"), Martin Suazo Tobias dba Suazo's Heating and Air Conditioning Co. ("Tobias"), R&R Metal Fabricators, Inc. ("R&R Metal"), and Roes 1-50 for: (1) Breach of Oral Contract, (2) Negligence, (3) Equitable Indemnity, (4) Contribution, and (5) Declaratory Relief.

On July

20, 2023, R&R Metal filed a cross-complaint, asserting causes of action against Moes 1-50 for: (1) Indemnification, (2) Apportionment of Fault, (3) Declaratory Relief, and (4) Contribution.

On

November 15, 2023, Alegria's default was entered.

On

December 6, 2023, an "Amendment to Cross-Complaint" was filed, wherein Designdlaux Incorporated ("Designdlaux") and Pete Laux ("Laux") were substituted in lieu of Roes 1 and 2, respectively, on L. Delgado's cross-complaint.

On

January 30, 2024, L. Delgado dismissed Tobias and Suazo's Heating, without prejudice.

On

February 26, 2024, Designdlaux's default was entered on Delgado's cross-complaint. On March 1, 2024, Laux's default was entered on L. Delgado's cross-complaint.

On

March 7, 2024, an "Order of Dismissal of Business Alliance Insurance Company" was entered.

On

April 15, 2025, an "Amendment to Cross-Complaint" was filed, wherein Caneros Electric, Inc. ("Caneros") and David P. Gallardo dba Dave's Shower Doors were substituted in lieu of Roes 3 and 4, respectively on Delgado's cross-complaint.

On May

7, 2025, Plaintiffs filed three "Amendment[s] to Complaint," wherein Richard M. Delgado, Richard Q. Delgado and PRSE, Inc. ("PRSE") were substituted in lieu of

Does 1-3, respectively.

On June

12, 2025, Plaintiffs filed two "Amendment[s] to Complaint," wherein Paul Rohrer ("Rohrer") and PRSE were substituted in lieu of Does 4 and 5, respectively.

On

August 27, 2025, PRSE and Rohrer filed a cross-complaint, asserting causes of action against Plaintiffs, L. Delgado, R&R Metal, Raul Tapia, Jr. ("Tapia Jr."), Martha Adriana Tapia-Rodriguez ("Tapia-Rodriguez"), Alegria, Suazo's Heating, Tobias, Caneros, David P. Gallardo dba Dave's Shower Doors dba Dave's Shower Door & Screen Repair, Inc., Pete Laux dba Designdlaux ("Laux"), Designdlaux and Does 1-75 for: (1) Declaratory Relief, (2) Breach of Written Contract, (3) Promissory Estoppel, (4) Declaratory Relief on Contractual Claims, (5) Breach of Contract for Money Owed, (6) Open Book Accounts, (7) Common Counts, (8) Equitable Indemnity, (9) Contribution/Apportionment of Fault, and (10) Declaratory Relief.

On

September 4, 2025, Plaintiffs filed a Second Amended Complaint, asserting causes of action against L. Delgado, Business Alliance Insurance Company ("BAIC"), PRSE, Rohrer, Richard M. Delgado, Richard Q. Delgado, and Does 6-10 for: (1) Breach of Contract, (2) Negligence, (3) Business and Professions Code Violations, (4) Recovery on Contractors License Bond, (5) Breach of Contract, (6) Professional Negligence, (7) Declaratory Relief, and (8) Disgorgement Pursuant to Business and Professions Code section 7031.

On

October 8, 2025, David Gallardo dba Dave's Shower Doors & Screen Repair filed a cross-complaint, asserting causes of action against L. Delgado, PRSE dba Paul Rohrer Structural Engineers, Rohrer, and Zoes 1-10 for: (1) Equitable Indemnity, (2) Contribution, and (3) Declaratory Relief.

On

October 22, 2025, Caneros' default was entered on L. Delgado's cross-complaint.

On

October 23, 2025, PRSE dba Paul Rohrer Structural Engineers was dismissed, without prejudice, from David Gallardo dba Dave's Shower Doors & Screen Repair's cross-complaint.

On

October 27, 2025, PRSE and Rohrer filed three "Amendment[s] to Cross-Complaint," wherein Tony Nguyen ("Nguyen"), Erin Flinn dba Flinn Designs ("Flinn") and Plan B Customs, Inc. were named in lieu of Does 1-3, respectively.

On

December 11, 2025, PRSE and Rohrer filed three "Amendment[s] to Cross-Complaint," wherein Stile Construction, Stile Construction LLC and Miceli Design & Construction were named in lieu of Does 4-6, respectively.

On

December 18, 2025, Tobias' default was entered on PRSE's and Rohrer's cross-complaint.

On

December 30, 2025, Alegria's, Caneros', Suazo's Heating's and Designdlaux's defaults were entered on PRSE's and Rohrer's cross-complaint.

On

January 29, 2026, Nguyen was dismissed, without prejudice, from PRSE's and Rohrer's cross-complaint; that day, Flinn's, Stile Construction's and Plan B's defaults were entered on PRSE's and Rohrer's cross-complaint.

On

February 19, 2026, an "Amendment to Cross-Complaint" was filed, wherein Martin Suazo Tobias dba Suazo's Heating and Air Conditioning Co. and Suazo's Heating and Air Conditioning Co., Inc., were substituted in lieu of Roes 5 and 6, respectively, on L. Delgado's cross-complaint.

On

March 2, 2026, Designdlaux and Laux were dismissed, without prejudice, from PRSE's and Rohrer's cross-complaint

On

March 17, 2026, an "Amendment to Cross-Complaint" was filed, wherein Stile Construction/Design Incorporated was substituted in lieu of Roe 7 on L. Delgado's cross-complaint.

On April 22, 2026, Stile Construction/Design

Incorporated filed a cross-complaint, asserting causes of action against L.

Delgado dba L&R Construction, PRSE dba Paul Rohrer Structural Engineers, Rohrer, Raul Tapia dba R&R Fabricators and Roes 1-50 for: (1) Implied/Comparative Indemnity, (2) Equitable Indemnity, and (3) Declaratory Relief.

On May 20, 2026, James

Mitchell dba Micelli

Design & Construction ("Micelli Design") filed a cross-complaint, asserting causes of action against L. Delgado dba L&R Construction, Raul Tapia dba R&R Fabricators and Joes 1-25 for: (1) Equitable Indemnity on a Comparative Fault Basis and for Comparative Contribution, (2) Total Indemnity, (3) Apportionment of Fault, (4) Declaratory Relief, and (5) Contribution.

On May 29, 2026, PRSE

and Rohrer filed a "Notice of Conditional Settlement with Plaintiffs Nilesh S. Makwana and Jessica M. Montesinos."

On June 16, 2026, the

Court sustained PRSE's and Rohrer's demurrer to the first cause of action in Stile Construction/Design Incorporated's cross-complaint, without leave to amend.

A Case Management

Conference is set for July 1, 2026.

Legal

Standard

"Any

party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligators, upon giving notice in the manner provided in subdivision (b) of Section 1005 . . ." (Code Civ. Proc., § 877.6, subd. (a)(1).)

"A

determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or

partial or comparative indemnity, based on comparative negligence or comparative fault.” (Code Civ. Proc., § 877.6, subd. (c).)

“[T]he

intent and policies underlying section 877.6 require that a number of factors be taken into account including a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial.

Other

relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement.” (Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499 [emphasis added].)

Additionally, “the trial court’s good faith determination must take into account the settling tortfeasor’s potential liability for indemnity to a cotortfeasor, as well as the settling tortfeasor’s potential liability to the plaintiff.” (Far West Financial Corp. v. D&S Co. (1988) 46 Cal.3d 796, 816, fn. 16.) “If section 877.6 is to serve the ends of justice, it must prevent a party from purchasing protection from its indemnification obligation at bargain-basement prices.” (Long Beach Memorial Medical Center v. Superior Court (2009) 172 Cal.App.4th 865, 876.)

The

moving party’s initial evidentiary burden depends on whether the good faith of the settlement is being contested. If the nonsettling defendants do not oppose the motion on the good faith issue, a “barebones” motion which sets forth the grounds of good faith, accompanied by a declaration which sets forth a brief background of the case, is sufficient. (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1261.)

When a

motion for determination of good faith settlement is contested, however, the moving party must make a more specific showing under the Tech-Bilt factors. (Id. at 1261-62.) Such a showing may be made

either in the original moving papers or in counter-declarations filed after the nonsettling defendants have filed an opposition challenging good faith of the settlement. (Id. at 1262.) Where good faith is contested, the showing requires competent evidence in support of “good faith.” (Greshko v. County of Los Angeles (1987) 194 Cal.App.3d 822, 834.)

“Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the non-settlor who asserts that the settlement was not made in good faith.” (City of Grand Terrace, supra, 192 Cal.App.3d at 1262; Code Civ. Proc., § 877.6, subd. (d).)

Discussion

PRSE

and Rohrer move the Court for an order, pursuant to Code of Civil Procedure sections 877 and 877.6, determining that their settlement reached with Plaintiffs was entered into in good faith.

Procedural Defects

At the outset, the Court observes that PRSE and Rohrer failed to comply with California Rules of Court rule 3.1382 (i.e., “[a] motion or application for determination of good faith settlement may include a request to dismiss a pleading or a portion of a pleading. The notice of motion or application for determination of good faith settlement must list each party and pleading or portion of pleading affected by the settlement and the date on which the affected pleading was filed” [Emphasis added].)

PRSE

and Rohrer make only a generic reference to a “pending cross-complaint for equitable indemnity, contribution and declaratory relief.” The procedural history reflects that PSRE and Rohrer are defendants in Plaintiff’s SAC filed September 4, 2025 and cross-defendants in Stile Construction/Design Incorporated’s cross-complaint filed April 22, 2026.

Merits

The motion is essentially unopposed [FN]; in this situation, it is enough for PRSE and Rohrer to make a “barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case...” (City of Grand Terrace, supra, 192 Cal.App.3d at 1261.)

PRSE and Rohrer’s motion meets this lower threshold. The motion provides the requisite “brief background of the case.” This construction defect action arises out of a renovation of the Property, which involved, inter alia, the removal of numerous interior and exterior bearing and shear walls and construction of an addition at the first and second floors. (Davidson Decl., ¶ 4.) On or about April 5, 2020, Plaintiffs entered into a construction contract with L. Delgado dba L&R Construction (“L&R Construction”). (Id., ¶ 5.) L&R Construction performed construction work at the Property from approximately April 2020 through November 2022, at which point it was terminated by Plaintiffs. (Id.)

On February 7, 2023, Plaintiffs filed their original complaint. (Id., ¶ 6.) On August 11, 2025, Plaintiffs filed a Doe amendment, naming both PRSE and Rohrer as defendants. (Id.) On September 4, 2025, Plaintiffs filed a SAC against PRSE and Rohrer for breach of contract, professional negligence and declaratory relief. (Id., ¶¶ 6 and 10, Exh. 2.)

PRSE’s and Rohrer’s counsel, David Davidson (“Davidson”) represents, and/or the accompanying exhibits reflect, as follows:

PRSE

and Rohrer have agreed to settle all claims asserted against them by Plaintiffs in exchange for \$30,000.00 and a \$3,410.00 waiver of PRSE’s outstanding fee receivable from Plaintiffs. (Id., ¶¶ 40 and 55.) Davidson estimates that Plaintiffs are attempting to seek \$2,643,778 in damages but asserts that “[b]ased on the claims being made by Plaintiff[s], none of the items of damages are associated with the services provided by PRSE but are solely related to work performed by the contractor, subcontractors, other consultants of the owner and replacement contractors as well as others some of which are in default. (Id., ¶¶ 66 and 67.)

PRSE

is a California structural engineering firm and Rohrer is the licensed structural engineer and same. (Id., ¶ 19.) PRSE's engagement arose from a written Agreement for Structural Service dated March 26, 2020 ("Agreement"), initially entered into between PRSE and DesignDLaux Inc. ("DesignDLaux")/Pete Laux ("Laux"), with PRSE Job No. 20-017. (Id., ¶¶ 11 and 20, Exh. 3.) The contract was subsequently executed by Plaintiffs on April 2, 2020. (Id.) PRSE's scope of work on the Property was limited to: (a) structural engineering design, calculations, and drawings; (b) responding to building department comments; (c) assisting the contractor with interpretation of the structural design; and (d) periodic construction observation site visits, performed only upon request, at \$400 per visit. (Id., ¶ 19.)

The Agreement expressly provides, in relevant part, as follows:

"Construction
Observation (Billed on a Time & Materials Basis)

-Site

visits by the Structural Engineer to observe the construction for general conformance with the approved structural plans may be required by the Building Official. Site visits by the structural engineer will be performed upon request only and will be billed at \$400.00 per visit. Please allow (2) working days notice for scheduling. . .

TERMS

AND CONDITIONS. . .

2.

Engineer will in no way be responsible for how the contractor's work is performed. Job safety, methods of performance, and timeliness are the sole responsibility of the contractor. The Client will agree to Hold Harmless and defend the engineer against any and all acts, errors, or omissions on the part of the Client, the Contractor, and/or any of the subcontractors. . .

13.

Limitation of Liability - The Client recognizes the inherent risks connected with construction, and agrees to limit any and all liability, claim for damages, cost of defense, or expenses to be levied against Engineer on account

of a design defect, error, omission, or professional negligence to a sum not to exceed \$250,000.00.”

(Id., ¶ 11, Exh. 3.)

Laux, DesignDLaux’s principal, who served as Plaintiffs’ designer and the de facto agent on the Property, testified at deposition that prior to the termination of L&R Construction’s involvement on the project, he was Plaintiffs’ agent responsible for coordinating PRSE’s services. (Id., ¶ 16, Exh. 8, 132:6-10.) Laux testified that PRSE would only come to the construction site when called to do so (Id., 134:18-23 and 136:16-18) and that he, not Plaintiffs or L&R Construction, was the person responsible for calling PRSE out to the site to perform construction observations (Id., 134:18-23 and 136:16-18). PRSE made 2 construction observation site visits to the Property during the period that L&R Construction was the general contractor, on April 15, 2021 and September 16, 2021. (Id., ¶ 29, Exhs. 4 and 5; ¶ 16, Exh. 8, 142:12-15.)

While Plaintiffs’ professional negligence claims against PRSE included allegations that PRSE failed to conduct adequate structural observations during construction and failed to observe and verify proper installation of critical structural elements (SAC, ¶ 52), PRSE was not called to observe the framing prior to the installation of drywall. (Id., ¶ 16, Exh. 8, 138:16-18; ¶ 32.) The final pre-drywall walk-through occurred on approximately November 8, 2021 and Laux confirmed that framing was finalized around that time. (Id., ¶ 16, Exh. 8, 137:23-138:9.) Further, Laux testified that he did not have any criticisms of PRSE on this project and, when asked in his opinion why PRSE was named in this lawsuit, answered, “Because he was there.” (Id., ¶ 16, Exh. 8, 149:9-14; ¶ 36.) Montesinos responded affirmatively when asked if she would hire PRSE today for structural engineering work. (Id., ¶ 17, Exh. 9, 213:21; ¶ 37.)

Additionally, PRSE and Rohrer have proffered a declaration from a licensed civil and structural engineer, Peter S. Curry, SE (“Curry”). Curry sets forth his qualifications and states that he has reviewed Plaintiff’s SAC, Stile Construction/Design Incorporated’s cross-complaint filed April 22, 2026, PRSE’s and Rohrer’s cross-complaint, L&R Construction’s cross-complaint and other documents, including discovery responses, document production and some deposition transcripts in this case (Id., ¶¶ 9 and 22); that he has inspected the Property (Id., ¶ 21) that he

reviewed the structural plans and calculations prepared by PRSE for the Property (Id., ¶¶ 24 and 25); and that he personally met with and discussed the Property with Rohrer at the site and discussed observations and allegations being made by Plaintiffs against PRSE in this case (Id., ¶ 26).

Curry opines that the structural plans and calculations prepared by PRSE met the standard of care for a structural engineer for the Property (Id., ¶¶ 24 and 25); that PRSE: (1) conducted a thorough footing inspection on April 15, 2021, finding the work acceptable; (2) returned on September 16, 2021, identified structural deficiencies in the framing, issued a written observation report, and provided a corrective engineering sketch (SK-1) to guide remediation; (3) operated in full conformance with its contract, which required site visits only upon request; (4) was never called to observe the framing before drywall installation by Laux, the one person who bore the responsibility for making that request; (5) received no criticism whatsoever from either Laux or Plaintiffs regarding the quality or completeness of its professional services; and (6) continued to assist the project even after L&R Construction was terminated (Id., ¶ 34); that “any problems with the framing at the Project are directly caused by the failure of the contractors and subcontractors to perform their work in compliance with the permitted set of structural drawings and industry standards” (Id., ¶ 32); and that the settlement “is not only in the ballpark but represents more than PRSE’s proportionate share of liability in this case as PRSE bears zero liability in this case” (Id., ¶ 36).

PRSE and Rohrer argue that Business & Professions Code section 6735, subdivision (b) (i.e., “[A] licensed civil engineer who signs civil engineering documents shall not be responsible for damage caused by subsequent changes to or uses of those documents, if the subsequent changes or uses, including changes or uses made by state or local governmental agencies, are not authorized or approved by the licensed civil engineer who originally signed the documents, provided that the engineering service rendered by the civil engineer who signed the documents was not also a proximate cause of the damage”) also provides them with a complete statutory defense, inasmuch as the evidence establishes that L&R Construction and subcontractors deviated from PRSE’s approved structural drawings, that PRSE never approved the final framing condition before it was concealed by drywall installation and that PRSE’s services were not a proximate cause of Plaintiffs’ damages.

Davidson asserts that PRSE “would have also sought its attorneys fees and costs against Plaintiff based on the Crawford v. Weathershield (2008) 44 Cal.4th 541 and UDC-Universal Development, L.P. v. CH2M Hill (2010) 181 Cal.App.4th 10 arising from Plaintiffs individual duty to defend, indemnify and hold PRSE harmless.” (Davidson Decl., ¶ 70.)

Davidson represents that PRSE is a small structural engineering firm with limited financial resources to fund a settlement (Id., ¶ 48); that PRSE carries professional liability insurance with applicable policy limits (Id., ¶ 15, Exh. 7, Resp. to No. 304.1); that the settlement negotiations were arms-length and adversarial and without collusion, fraud or tortious conduct (Id., ¶¶ 48-55).

L&R

Construction, in response, asserts that the entire value of the settlement, should the motion be granted, should apply as a credit to the non-settling defendants. PRSE and Rohrer did not file a reply brief addressing L&R Construction's position.

The

Court is inclined to grant the motion, but will hear further from the parties with respect to the offset issue raised by L&R Construction at the time of the hearing.

[FN] On June 16, 2026, L&R

Construction filed a “Response and Tentative Opposition.”